

P. Mohanraj & Ors. v. M/s Shah Brothers ISPAT Pvt. Ltd.

Citation: (2021) 6 SCC 258 | *Court:* Supreme Court | *Year:* 2021

Coram: 3-Judge Bench (R.F. Nariman, Navin Sinha, K.M. Joseph JJ.) | *Subject:* Commercial & IBC | *Provisions:* IBC 2016 Sec 14 & NI Act 1881 Sec 138

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Section 138 Negotiable Instruments Act cheque dishonour proceedings are quasi-criminal in nature and fall squarely within the statutory moratorium under Section 14(1)(a) of the Insolvency and Bankruptcy Code (IBC). Cheque bounce proceedings against the corporate debtor are barred during CIRP.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding IBC 2016 Sec 14 & NI Act 1881 Sec 138. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to IBC 2016 Sec 14 & NI Act 1881 Sec 138.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

The term 'proceedings' in Section 14(1)(a) IBC includes quasi-criminal proceedings under Chapter XVII of the NI Act instituted against the company. However, directors and signatories remain personally liable under Section 141 NI Act without moratorium protection.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Barred Section 138 NI Act prosecution against the corporate debtor during IBC moratorium.

â€¢ Preserved personal criminal liability of directors, signatories, and guarantors.

â€¢ Harmonized commercial insolvency rehabilitation with debt enforcement laws.